

COVER SHEET

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SEC Registration Number

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(Company's Full Name)

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C	i	t	y																													

(Business Address: No. Street City/Town/Province)

Ms. Rossellina J. Escoto

(Contact Person)

8858-9400

(Company Telephone Number)

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Month Day
(Calendar Year)

Form 17-Q

(Form Type)

June 15

Month Day
(Annual Meeting)

Not Applicable

(Secondary License Type, If Applicable)

CFD

Dept. Requiring this Doc.

Not Applicable

Amended Articles Number/Section

55

Total No. of Stockholders as of
30 September 2025

Total Amount of Borrowings

P1.4 Billion	Not Applicable
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Domestic

Foreign

To be accomplished by SEC Personnel concerned

File Number																		

Document ID

LCU

Cashier

STAMPS

Remarks: Please use BLACK ink for scanning purposes.

SEC Number CS200705607

File Number _____

SSI Group, Inc.

(Company's Full Name)

6/F Midland Buendia Building

403 Sen. Gil Puyat Avenue, Makati City

(Company's Address)

(632) 8890-8034

(Telephone Number)

September 30, 2025

(Quarter Ending)

SEC FORM 17-Q

(Form Type)

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE
SECURITIES REGULATION CODE AND SRC RULE 17(2)(b) THEREUNDER

1. For the quarterly period ended: **September 30, 2025**
2. SEC Identification Number: **CS200705607**
3. BIR Tax Identification No.: **006-710-876**
4. Exact name of issuer as specified in its charter: **SSI Group, Inc.**
5. Province, country or other jurisdiction of incorporation or organization: **Makati City, Philippines**
6. Industry Classification Code: _____ (SEC Use Only)
7. Address of principal office:
6/F Midland Buendia Building, 403 Sen. Gil Puyat Avenue, Makati City
Postal Code: **1200**
8. Issuer's telephone number, including area code: **(632) 8890 8034**
9. Former name, former address, and former fiscal year, if changed since last report: **N/A**
10. Securities registered pursuant to Sections 8 and 12 of the SRC, or Sections 4 and 8 of the RSA

Title of each Class	Number of shares of common stock outstanding as of September 30, 2025
Common Shares	3,270,177,930

11. Are any or all of the securities listed on a Stock Exchange?

Yes [☒] No [☐]

If yes, state the name of such stock exchange and the classes of securities listed therein:

Philippine Stock Exchange - Common Shares

12. Indicate by check mark whether the registrant:

(a) has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding twelve (12) months (or for such shorter period that the registrant was required to file such reports)

Yes [☒] No [☐]

(b) has been subject to such filing requirements for the past ninety (90) days

Yes [☒] No [☐]

PART I – FINANCIAL INFORMATION

Item 1. Financial Statements

The Company's unaudited interim condensed consolidated financial statements as of September 30, 2025 (with comparative audited figures as of December 31, 2024) and for the nine-month periods ended September 30, 2025 and 2024 are attached to this Report.

Item 2. Management Discussion and Analysis of Financial Condition and Results of Operations

RESULTS OF OPERATIONS

For the nine months ended September 30, 2025 and 2024

Key Performance Indicators	For the nine months ended Sep 30	
<i>PhP MM except where indicated</i>	2025	2024
Net Sales	20,324	20,175
Gross Profit – merchandise	9,084	8,911
Operating Income	914	1,658
Net Income (Loss)	640	1,263
Gross Selling Space (sq.m.)	127,066	111,816
Increase /(Decrease) in Gross Selling Space (%)	13.6%	7.2%

The manner by which the Company calculates the key performance indicators above is as follows:

Net sales	Sales, net of VAT, minus sales returns and allowances and sales discounts
Gross profit – merchandise	Net sales minus cost of merchandise sold
Operating income (loss)	Gross profit minus operating expenses
Net income (loss)	Operating income (loss) minus other charges and provision for income tax
Gross selling space	Sum of floor area of all stores of the Group

Key Financial and Operating Data <i>PhP MM except where indicated</i>	For the nine months ended Sep 30	
	2025	2024
Key Financial Data		
Net Sales	20,324	20,175
Luxury & Bridge	6,207	6,453
Casual	2,896	2,984
Fast Fashion	6,912	6,853
Footwear, Accessories & Luggage (FAL)	1,624	1,246
Others	2,685	2,639
Gross Profit – merchandise ¹	9,084	8,911
Gross Profit Margin – merchandise (%)	44.7%	44.2%
Operating Income	914	1,658
Operating Income (Loss) Margin (%)	4.5%	8.2%
Other Income (Charges)	38	78
Net Income (Loss)	640	1,263
Net Income (Loss) Margin (%)	3.1%	6.2%
Total Debt ²	1,400	1,500
Net Debt ³	(1,385)	(1,985)
Key Operating Data		
Number of Brands	103	96
Number of Stores	613	565
Gross Selling Space (sq.m.)	127,066	111,816
Increase/(Decrease) in Gross Selling Space (%)	13.6%	7.2%

Revenues

Net sales

SSI Group, Inc. (the “Company” or the “Group”) generated sales of ₱20.32 billion during the nine months of 2025, with a modest increase of 0.7% as compared to ₱20.18 billion during the same period in 2024. For the third quarter alone, sales decreased by 0.9% to ₱6.88 billion.

During the first nine months of 2025, the Group’s sales were driven primarily by the Footwear, Accessories and Luggage category with an increase of 30.3%. This was followed by the Fast fashion and Others categories (personal care, food and home sales) which remained muted with increases of 0.9% and 1.7%, respectively. Movement in sales was also impacted by the decrease in revenue from Luxury and Bridge of 3.8% and the Casual wear category of 2.9%.

Sales growth during the period was muted given weak high end discretionary spending during the third quarter.

¹ Calculated as Net Sales minus Cost of Merchandise Sold

² Calculated as the sum of Short-term loans payable, Current portion of long-term debt and Long-term debt

³ Calculated as Total Debt minus Cash

The Group's e-commerce business generated sales of ₱1.57 billion, which accounted for 7.7% of sales during the first nine months of the year.

At the end of September 2025, the Group's store network included 613 stores nationwide which cover a total of approximately 127,066 square meters. During the third quarter, the Group opened seventeen (17) stores covering 2,915 sqm and closed two (2) stores with total area of 178 sqm.

As of September 30, 2025, the Group had 103 brands in its portfolio.

The following table sets out the Group's number of stores and gross selling space for the periods ended September 30, 2025 and 2024 and for the year ended December 31, 2024.

The Group's store openings were weighted towards new stores for contemporary fashion brands (under the luxury and bridge category), fast fashion brands, athleisure brands, personal care and variety stores (under the FAL category).

Store Network	September 30		December 31
	2025	2024	2024
Number of Stores	<u>613</u>	<u>565</u>	<u>588</u>
Luxury & Bridge	183	168	172
Casual	82	82	79
Fast Fashion	46	48	48
Footwear, Accessories & Luggage	143	127	141
Others	159	140	148
Gross Selling Space (sq.m.)	<u>127,066</u>	<u>111,816</u>	<u>119,579</u>
Luxury & Bridge	17,327	15,387	16,693
Casual	14,810	14,249	12,955
Fast Fashion	40,955	40,674	40,990
Footwear, Accessories & Luggage	20,487	17,351	19,434
Others	33,487	24,155	29,507

Rental income

The Group booked rental income of ₱71.4 million, an increase of 2.8% over the same period last year. Rental income relates to the leasing out of certain store spaces at Central Square as well as income derived from parking spaces at Central Square.

Gross Profit

As of September 30, 2025, the Group recorded a gross profit of ₱9.08 billion for the nine-month period, a 1.9% increase over the same period last year, and a gross profit margin of 44.7%. This is as compared to a gross profit margin of 44.2% during the same period in 2024.

In the third quarter of 2025, the gross profit margin on merchandise rose to 45.4%, compared to 43.2% in 2024. The gross profit for merchandise reached ₱3.1 billion, marking an increase of 4.0% compared to ₱3.0 billion last year.

Operating Expenses

Operating expenses during the first nine months of 2025 amounted to ₱8.18 billion, an increase of 12.4% over the same period last year. As a percentage of revenues, total operating expenses were at 40.1% compared to 35.9% during the same period last year. In the third quarter of 2025, operating expenses totaled ₱2.84 billion, representing a 19.6% increase compared to ₱2.38 billion for the same period in 2024.

Selling and distribution (S&D) expenses for the nine months of 2025 were at ₱6.58 billion, an increase of 11.3% over the same period last year. As a percentage of revenues, S&D expenses were at 32.2% as compared to 29.2% in the nine months of 2024. In the third quarter alone, selling and distribution expenses reached ₱2.27 billion, a 14.6% increase from ₱1.98 billion in the same period last year.

The Group's selling and distribution expenses for the first nine months of 2025 rose mainly due to increased rent and occupancy costs of ₱264.5 million, depreciation of ₱156.0 million, and personnel costs amounting to ₱177.7 million. Additional contributing factors, including utilities, taxes and licenses, advertising, outside services, security services, and the global marketing contribution, collectively increased by ₱67.2 million. Increased selling expenses are primarily a function of the increase in the Group's selling area, with total square meters increasing by 13.6% y-o-y.

General and administrative expenses for the first nine months of 2025 were at ₱1.60 billion, an increase of 17.4% over the same period last year. As a percentage of revenues, G&A expenses was 7.9% as compared to 6.7% during the same period last year. In the third quarter alone, general and administrative costs amounted to ₱572.5 million, a 44.7% increase from ₱395.7 million in the same period last year.

The movement in general and administrative expenses was mainly due to higher depreciation and amortization, advertising cost, professional fees and IT expenses related to the Group's transition to SAP and ETP Enterprise Resource Planning Systems.

As a result of the foregoing, the Group generated operating income of ₱914.4 million, a decrease of 44.9% from ₱1.66 billion during the same period last year. In the third quarter alone, the operating income amounted to ₱280.3 million, 56.0% lower compared to ₱636.3 million in 2024.

Earnings before interest, tax, depreciation and amortization (EBITDA) totaled ₱2.32 billion, 16.0% lower than the ₱2.76 billion EBITDA during the same period in 2024. In the third quarter alone, EBITDA reached ₱761.9 million, an 18.0% decrease from ₱929.1 million in 2024.

Other Income and Charges

Other income and charges for the first nine months of 2025 resulted in an income of ₱37.6 million, as compared to an income of ₱77.8 million in 2024. Other income decreased by 10.3%, from ₱234.4 million in 2024 to ₱210.3 million in 2025, while other charges increased by 10.2% year-on-year, totaling ₱172.6 million compared to ₱156.6 million last year.

Provision for Income Tax

Provision for income tax for the nine months of 2025 amounted to ₱312.2 million as compared to ₱472.3 million during the same period last year.

Net Income

As a result of the foregoing, the Group's net income for the first nine months of 2025 amounted to ₱639.8 million, a decrease of 49.3% from ₱1.26 billion during the same period last year. Net income for the third quarter alone of 2024 totaled ₱188.1 million, a 65.0% decrease from ₱537.2 million in the same period of 2024.

FINANCIAL CONDITION

As of September 30, 2025, the Group had consolidated assets of ₱27.81 billion as compared to ₱26.59 billion as of December 31, 2024.

Current Assets

Cash

As of September 30, 2025, cash amounted to ₱2.78 billion as compared to ₱5.14 billion at the end of 2024. The decrease primarily reflects the Group's capital expenditures of ₱1.20 billion (excluding Right-of-Use Asset).

Trade and other receivables

As of September 30, 2025, trade and other receivables amounted to ₱1.61 billion as compared to ₱963.4 million at the end of 2024. The increase is mainly attributable to the increase in nontrade receivables amounting to ₱352.8 million, these are receivables from brands for their share in marketing expenses.

Merchandise Inventories

As of September 30, 2025, merchandise inventories amounted to ₱13.15 billion as compared to ₱10.19 billion at the end of 2024. This results in an inventory holding period of 8-9 months, aligning with the Group's target to maintain adequate stock levels across a suitable range of styles and sizes to drive sales for the upcoming holiday season.

Non-Current Assets

Investment in Associates

As of September 30, 2025, investment in associates amounted to ₱495.7 million as compared to ₱547.8 million at the end of 2024.

The increase is attributed to the Group's recognized share in the net earnings of Samsonite Philippines, Inc. (SPI), Prada Philippines, Inc. (PPI), and Luxury Goods Philippines, Inc. (LGPI), amounting to a net total of ₱31.1 million, which was offset by cash dividends received amounting to ₱83.2 million.

Investment in Joint Ventures

As of September 30, 2025, investment in joint ventures amounted to ₱572.2 million as compared to ₱599.5 million at the end of 2024.

The increase pertains to the Group's recognized share in the net earnings of Landmark Management Services Ltd. (LMS) and MUJI Philippines Corp. (MPC) amounting to a total of ₱27.2 million.

Property and Equipment

As of September 30, 2025, property and equipment amounted to ₱6.50 billion as compared to ₱6.65 billion at the end of 2024. This net increase is primarily due to the Group's capital expenditures of ₱1.20 billion (excluding Right-of-Use Asset) during the first nine months of 2025, offset by depreciation expense of ₱1.40 billion recognized over the period.

Deferred Tax Assets

As of September 30, 2025, deferred tax assets amounted to ₱473.0 million as compared to ₱422.0 million at the end of 2024. These assets relate to deductible temporary differences and carryforward benefits of unused minimum corporate income tax (MCIT) and net operating loss carryover (NOLCO), recognized to the extent that sufficient future taxable profits are expected to be available to utilize these deductible differences and carryforward benefits.

Security Deposits and Construction Bonds

As of September 30, 2025, security deposits and construction bonds amounted to ₱1.12 billion as compared to ₱1.03 billion at the end of 2024. Interest income recognized from these deposits totaled ₱2.8 million during the first nine months of 2025.

Current Liabilities**Trade and Other Payables**

As of September 30, 2025, trade and other payables amounted to ₱6.85 billion as compared to ₱5.45 billion at the end of 2024. This increase is primarily attributable to a rise in trade payables, which reached ₱5.37 billion, reflecting the terms of merchandise deliveries during the period.

Short-term Loans Payable

As of September 30, 2025, short-term loans payable totaled ₱1.40 billion, up from ₱1.03 billion at the end of 2024. This increase is attributed to a ₱480.0 million short-term loan acquired during the second and third quarter, which was utilized for capital expenditures.

Non- Current Liabilities**Retirement Benefit Obligation**

As of September 30, 2025, retirement benefit obligation amounted to ₱986.8 million as compared to ₱947.0 million at the end of 2024. This represents the difference between the present value of the Group's retirement plan obligations and the fair value of the Group's plan assets at the end of the period.

Lease Liabilities

The lease liabilities as of September 30, 2025 amounted to ₱1.6 billion, reflecting a decrease of ₱495.6 million compared to the balance at the end of 2024. The reduction is primarily due to payments totaling ₱597.0 million made during the first nine months of the year, including ₱101.5 million in interest expense recognized in relation to lease liabilities during the quarter.

As of September 30, 2025, the current portion of the Group's lease liabilities amounted to ₱284.9 million while the noncurrent portion was at ₱1.3 billion.

Equity

As of September 30, 2025, total equity was ₱16.7 billion, slightly up by 0.5% from ₱16.6 billion at the end of 2024. This increase in equity is due to the net income recognized by the Group during the first nine months of the year, totaling ₱639.8 million and offset by purchase of treasury shares amounting to ₱50.4 million and dividends payout amounting to ₱503.6 million.

CASH FLOWS

The Group generated operating cash flows before working capital changes of ₱2.52 billion during the first nine months of 2025. Operating cash flows, after working capital changes, was at ₱307.3 million, this is primarily attributable to merchandise inventory purchases. The Group also received interest income of ₱15.0 million and paid income taxes of ₱553.1 million. As a result of the foregoing, the Group's operating activities used ₱230.8 million, with ₱277.6 million used in operations during the third quarter alone.

Cash flows used in investing activities during the first nine months of 2025 amounted to ₱1.31 billion. This outflow includes cash used for capital expenditures totaling ₱1.20 billion (excluding Right-of-Use Asset), security deposits and construction bonds of ₱91.1 million, and other noncurrent assets amounting to ₱44.8 million. The Group received cash dividends from investments in associates totaling ₱83.2 million. The cash flows used in investing activities for the third quarter alone totaled ₱564.6 million, primarily allocated to store expansions and renovations.

The Group's cash flows used in financing activities during the first nine months of 2025 totaled ₱819.9 million. This amount reflects cash dividend payments of ₱503.6 million, lease liability payments including interest booked under PFRS 16 totaling ₱597.0 million, payment of loans including interest amounting to ₱148.9 million and purchase of treasury shares amounting to ₱50.4 million. These cash outflows were offset by proceeds from a short-term loan amounting to ₱480.0 million. Financing activities in the third quarter alone used cash amounting to ₱200.3 million.

The Group ended the 9M of 2025 with a net cash position of ₱1.39 billion.

Other Disclosures

- (i) There are no known trends, events or uncertainties that will result in the Company's liquidity increasing or decreasing in a material way.
- (ii) There were no events that will trigger direct or contingent financial obligations that are material to the Company, including and default or acceleration of an obligation.
- (iii) Likewise, there were no material off-balance sheet transactions, arrangements, obligations (including contingent obligations), and other relationships of the Company with unconsolidated entities or other persons created during the reporting period.
- (iv) There are no material commitments for capital expenditures aside from those performed in the ordinary course of business.
- (v) There were no significant elements of income or loss that did not arise from continuing operations.

**PART II – OTHER
INFORMATION**

There is no other information not previously reported in SEC Form 17-C that needs to be reported in this section.



****SIGNATURES****

Pursuant to the requirements of Securities Regulation Code, the issuer has duly caused this Report to be signed on its behalf by the undersigned thereunto duly authorized.

By:

A handwritten signature in black ink, appearing to read "Rosellina J. Escoto", followed by a stylized flourish.

ROSSELLINA J. ESCOTO
Vice President – Finance
November 4, 2025

SSI Group, Inc. and Subsidiaries

Unaudited Interim Condensed Consolidated Financial Statements
As of September 30, 2025 (*With Comparative Audited Figures as of
December 31, 2024*)
and For the Nine-Month Periods Ended September 30, 2025 and 2024

SSI GROUP, INC. AND SUBSIDIARIES**UNAUDITED INTERIM CONSOLIDATED BALANCE SHEETS****As of September 30, 2025****(With Comparative Audited Figures as of December 31, 2024)**

	September 30 2025 (Unaudited)	December 31 2024 (Audited)
ASSETS		
Current Assets		
Cash (Note 3)	₱2,784,623,756	₱5,140,692,397
Trade and other receivables (Note 4)	1,608,655,944	963,355,616
Merchandise inventories (Note 5)	13,145,536,409	10,194,130,122
Prepayments and other current assets (Note 6)	869,676,389	839,369,838
Total Current Assets	18,408,492,498	17,137,547,973
Noncurrent Assets		
Investment in an associate (Note 7)	495,721,905	547,826,907
Interests in joint ventures (Note 8)	572,230,265	599,465,353
Property and equipment (Note 9)	6,498,666,287	6,646,704,047
Deferred tax assets - net	473,009,031	422,005,904
Security deposits and construction bonds (Note 22)	1,122,411,020	1,028,503,431
Other noncurrent assets (Note 10)	241,235,713	204,729,640
Total Noncurrent Assets	9,403,274,221	9,449,235,282
TOTAL ASSETS	₱27,811,766,719	₱26,586,783,255
LIABILITIES AND EQUITY		
Current Liabilities		
Trade and other payables (Note 11)	₱6,851,738,287	₱5,446,194,347
Short-term loans payable (Note 12)	1,400,000,000	1,025,000,000
Current portion of lease liabilities (Note 22)	284,925,848	767,612,958
Deferred revenue	31,460,986	30,316,217
Income tax payable	167,185,340	357,119,187
Total Current Liabilities	8,735,310,461	7,626,242,709
Noncurrent Liabilities		
Retirement benefit obligation	986,767,905	946,997,148
Lease liabilities - net of current portion (Note 22)	1,328,005,786	1,340,869,278
Tenant deposits (Note 22)	36,773,947	33,656,970
Total Noncurrent Liabilities	2,351,547,638	2,321,523,396
Total Liabilities	11,086,858,099	9,947,766,105
Equity		
Capital stock	3,312,864,430	3,312,864,430
Additional paid-in capital	2,519,309,713	2,519,309,713
Treasury shares	(103,258,610)	(52,858,610)
Retained earnings	11,228,315,881	11,092,024,413
Cumulative translation adjustment	(1,912,802)	(1,912,802)
Other comprehensive loss	(230,409,992)	(230,409,994)
Total Equity	16,724,908,620	16,639,017,150
TOTAL LIABILITIES AND EQUITY	₱27,811,766,719	₱26,586,783,255

See accompanying Notes to Unaudited Interim Condensed Consolidated Financial Statements.

SSI GROUP, INC. AND SUBSIDIARIES

UNAUDITED INTERIM CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

	Three-Month Periods Ended September 30		Nine-Month Periods Ended September 30	
	2025	2024	2025	2024
REVENUE				
Revenue from contract with customers - net sales	₱6,879,197,954	₱6,943,489,225	₱20,324,005,400	₱20,175,210,359
Rental income (Note 23)	23,302,286	23,645,909	71,406,269	69,475,517
	6,902,500,240	6,967,135,134	20,395,411,669	20,244,685,876
COST OF GOODS SOLD AND SERVICES (Note 14)	3,779,357,311	3,954,080,791	11,301,372,706	11,310,332,274
GROSS PROFIT	3,123,142,929	3,013,054,343	9,094,038,963	8,934,353,602
OPERATING EXPENSES				
Selling and distribution (Note 15)	2,270,344,168	1,981,085,099	6,575,333,232	5,909,965,464
General and administrative (Note 16)	572,532,309	395,695,121	1,604,349,054	1,366,381,139
	2,842,876,477	2,376,780,220	8,179,682,286	7,276,346,603
OTHER INCOME (CHARGES)				
Share in net earnings of an associate (Note 7)	(18,504,978)	27,691,802	31,095,600	80,559,538
Interest accretion on security deposits (Note 23)	607,620	1,747,826	2,842,236	4,063,484
Interest income (Note 3)	2,217,824	646,363	14,983,325	9,698,512
Interest expense (Notes 12 and 13)	(49,873,807)	(60,187,882)	(145,391,299)	(156,629,627)
Share in net income (losses) of joint ventures (Note 8)	(17,698,524)	10,855,423	(27,235,088)	13,817,726
Gain (loss) on disposal of property and equipment (Note 9)	(2,949,055)	—	(6,276,414)	48,252,353
Foreign exchange losses - net	(26,501,177)	(4,103,606)	(85,329,251)	(40,015,320)
Others - net	135,998,959	114,348,788	252,952,400	118,036,441
	23,296,862	90,998,714	37,641,509	77,783,107
INCOME BEFORE INCOME TAX	303,563,314	727,272,837	951,998,186	1,735,790,106
PROVISION FOR (BENEFIT FROM) INCOME TAX				
Current	143,027,566	207,244,876	368,015,139	491,204,226
Deferred	(27,545,489)	(17,154,528)	(55,858,645)	(18,905,678)
	115,482,077	190,090,348	312,156,494	472,298,548
NET INCOME	188,081,237	537,182,489	639,841,692	1,263,491,558
OTHER COMPREHENSIVE INCOME				
<i>Other comprehensive income to be reclassified to profit or loss in subsequent periods:</i>				
Cumulative translation adjustment on foreign operations, net of deferred tax	—	—	—	—
<i>Other comprehensive income not to be reclassified to profit or loss in subsequent periods:</i>				
Re-measurement gain (loss) on retirement benefit, net of deferred tax	—	—	—	—
TOTAL COMPREHENSIVE INCOME	₱188,081,237	₱537,182,489	₱639,841,692	₱1,263,491,558
BASIC/DILUTED EARNINGS PER SHARE (Note 20)	₱0.06	₱0.16	₱0.19	₱0.38

See accompanying Notes to Unaudited Interim Condensed Consolidated Financial Statements.

SSI GROUP, INC. AND SUBSIDIARIES

UNAUDITED INTERIM CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

FOR THE NINE-MONTH PERIODS ENDED SEPTEMBER 30, 2025 AND 2024

	Capital Stock	Additional Paid-in Capital	Treasury Shares	Retained Earnings	Cumulative Translation Adjustment	Other Comprehensive Income	Total
Balances at January 1, 2024	₱3,312,864,430	₱2,519,309,713	(₱52,858,610)	₱9,102,357,980	(₱1,912,802)	(₱234,149,541)	₱14,645,611,170
Net income	–	–	–	1,263,491,558	–	–	1,263,491,558
Other comprehensive income	–	–	–	–	–	–	–
Total comprehensive income for the period	–	–	–	1,263,491,558	–	–	1,263,491,558
Dividends declared during the period	–	–	–	(520,006,113)	–	–	(520,006,113)
Balances at September 30, 2024	₱3,312,864,430	₱2,519,309,713	(₱52,858,610)	₱9,845,843,424	(₱1,912,802)	(₱234,149,539)	₱15,389,096,616
Balances at January 1, 2025	₱3,312,864,430	₱2,519,309,713	(₱52,858,610)	₱11,092,024,413	(₱1,912,802)	(₱230,409,994)	₱16,639,017,150
Net income	–	–	–	639,841,692	–	–	639,841,692
Other comprehensive income	–	–	–	–	–	–	–
Total comprehensive income for the period	–	–	–	639,841,692	–	–	639,841,692
Purchase of treasury shares	–	–	(50,400,000)	–	–	–	(50,400,000)
Dividends declared during the period	–	–	–	(503,550,223)	–	–	(503,550,223)
Balances at September 30, 2025	₱3,312,864,430	₱2,519,309,713	(₱103,258,610)	₱11,228,315,881	(₱1,912,802)	(₱230,409,992)	₱16,724,908,620

See accompanying Notes to Unaudited Interim Condensed Consolidated Financial Statements.

SSI GROUP, INC. AND SUBSIDIARIES

UNAUDITED INTERIM CONSOLIDATED STATEMENTS OF CASH FLOWS

	For the Nine-Month Periods Ended September 30	
	2025 (Unaudited)	2024 (Unaudited)
CASH FLOWS FROM OPERATING ACTIVITIES		
Income before income tax	₱951,998,186	₱1,735,790,106
Adjustments for:		
Depreciation and amortization (Notes 9, 10 and 17)	1,402,786,769	1,197,203,961
Interest expense (Note 12)	145,391,299	156,629,627
Loss (gain) on disposal of property and equipment (Note 9)	6,276,414	(46,499,147)
Share in net earnings of an associate (Note 7)	(31,095,600)	(80,559,538)
Share in net earnings of joint ventures (Note 8)	27,235,088	(13,817,726)
Interest income (Note 3)	(14,983,325)	(9,698,512)
Interest accretion on security deposits (Note 22)	(2,842,236)	(4,063,484)
Movement in retirement benefit obligation	39,770,757	(34,904,296)
Operating income before working capital changes	2,524,537,352	2,900,080,991
Decrease (increase) in:		
Trade and other receivables	(645,300,328)	(296,097,412)
Merchandise inventory	(2,951,406,287)	(2,330,090,626)
Prepayments and other current assets	(30,306,551)	(138,657,737)
Increase (decrease) in:		
Trade and other payables	1,405,543,957	1,303,705,468
Tenant deposits	3,116,977	10,479,419
Deferred revenue	1,144,769	(12,137,747)
Net cash used in operations	307,329,889	1,437,282,356
Interest received	14,983,325	9,698,512
Income taxes paid	(553,093,484)	(586,591,608)
Net cash flows used in operating activities	(230,780,270)	860,389,260
CASH FLOWS FROM INVESTING ACTIVITIES		
Acquisitions of property and equipment (Note 9)	(1,252,720,442)	(1,915,591,404)
Proceeds from sale of property and equipment	—	149,956,576
Dividends received from investment in an associate (Note 7)	83,200,602	30,000,000
Decrease (increase) in:		
Security deposits and construction bonds	(91,065,353)	(88,792,921)
Other noncurrent assets	(44,811,054)	(51,656,622)
Net cash flows used in investing activities	(1,305,396,247)	(1,876,084,371)
CASH FLOWS FROM FINANCING ACTIVITIES		
Proceeds from availment of short-term loans	480,000,000	700,000,000
Payments of:		
Short-term loans payable	(105,000,000)	—
Lease liability	(495,550,602)	(434,909,418)
Interest	(145,391,299)	(156,629,627)
Dividends paid during the year	(50,400,000)	(520,006,113)
Purchase of treasury shares	(503,550,223)	—
Net cash flows from (used in) financing activities	(819,892,124)	(411,545,158)
NET INCREASE (DECREASE) IN CASH	(2,356,068,641)	(1,427,240,269)
CASH AT BEGINNING OF PERIOD	5,140,692,397	4,912,715,104
CASH AT END OF PERIOD (Note 3)	₱2,784,623,756	₱3,485,474,835

See accompanying Notes to Unaudited Interim Condensed Consolidated Financial Statements.

SSI GROUP, INC. AND SUBSIDIARIES

NOTES TO UNAUDITED INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

1. Corporate Information

SSI Group, Inc. was registered with the Philippine Securities and Exchange Commission (SEC) on April 16, 2007 as Casual Clothing Specialists, Inc. (the Company). Under the Revised Corporation Code of the Philippines, the Company shall have a perpetual corporate life. Its primary purpose was to carry on a general mercantile and commercial business of importing, buying, acquiring, holding, selling or otherwise disposing of and dealing in any goods, wares, merchandise and commodities of all kinds, and products, natural or artificial, of the Philippines or other countries, which are or may become articles of commerce, without, however, engaging in the manufacture of foods, drugs, and cosmetics. The Company was formerly one of the subsidiaries of Stores Specialists, Inc. (SSI).

On November 7, 2014, SSI Group, Inc. listed its 695,701,530 common shares with the Philippine Stock Exchange (PSE).

The registered office and principal place of business of the Company is 6th Floor, Midland Buendia Building, 403 Sen. Gil Puyat Avenue, Makati City.

The interim condensed consolidated financial statements were reviewed and recommended for approval by the Audit Committee to the Board of Directors (BOD) on November 12, 2025. The same interim condensed consolidated financial statements were approved and authorized by the BOD on the same date.

2. Basis of Presentation, Preparation and Consolidation and Summary of Significant Accounting Policies

Basis of Preparation

The unaudited interim condensed consolidated financial statements as of September 30, 2025 and for the nine-month periods ended September 30, 2025 and 2024 have been prepared in accordance with Philippine Accounting Standard (PAS) 34, *Interim Financial Reporting*. The unaudited interim condensed consolidated financial statements do not include all of the information and disclosures required in the annual consolidated financial statements, and should be read in conjunction with the Company's annual consolidated financial statements as at December 31, 2024.

Basis of Consolidation

The consolidated financial statements comprise the financial statements of the Company and the following wholly owned subsidiaries:

	Percentage ownership			
	September 30, 2025		December 31, 2024	
	Direct	Indirect	Direct	Indirect
Stores Specialists, Inc. (SSI)	100	–	100	–
Rustan Marketing Specialists, Inc. (RMSI)	–	100	–	100
International Specialty Concepts, Inc. (ISCI)	–	100	–	100
Rustan Specialty Concepts, Inc. (RSCI)	–	100	–	100
Specialty Office Concepts, Inc. (SOCI)	–	100	–	100
Specialty Investments, Inc. (SII)	–	100	–	100
International Specialty Fashions, Inc. (ISFI)	–	100	–	100
Footwear Specialty Retailers, Inc. (FSRI)	–	100	–	100
Global Specialty Retailers, Inc. (GSRI)	–	100	–	100
Specialty Food Retailers, Inc. (SFRI)	–	100	–	100
International Specialty Retailers, Inc. (ISRI)	–	100	–	100
International Specialty Wears, Inc. (ISWI)	–	100	–	100
Fastravel Specialists Holdings, Inc. (FSHI)	–	100	–	100
International Specialty Apparels, Inc. (ISAI)	–	100	–	100
Specialty Lifestyle Concepts, Inc. (<i>former Casual Clothing Retailers, Inc.</i>) (SLCI)	–	100	–	100
SKL International, Ltd. (SKL)	–	100	–	100

All subsidiaries, except for FSHI, SII and SKL, are in the retail business and hold exclusive distributorship of certain brands.

The consolidated financial statements comprise the financial statements of the Company and its subsidiaries as of September 30, 2025 and for the nine months ended September 30, 2025 and 2024. Subsidiaries are fully consolidated from the date of acquisition, being the date on which the Group obtains control, and continue to be consolidated until the date when such control ceases. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Specifically, the Group controls an investee if and only if the Group has:

- Power over the investee (i.e. existing rights that give it the current ability to direct the relevant activities of the investee);
- Exposure, or rights, to variable returns from its involvement with the investee; and
- The ability to use its power over the investee to affect its returns.

Generally, there is a presumption that a majority of voting rights result in control. To support this presumption and when the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement with the other vote holders of the investee
- Rights arising from other contractual arrangements
- The Group's voting rights and potential voting rights

Profit or loss and each component of other comprehensive income (OCI) are attributed to the equity holders of the Company and to the non-controlling interests (NCI), even if this results in the non-controlling interests having a deficit balance. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies in line with the Company's accounting policies. All intra-group assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

Common control business combinations and group reorganizations

Where there are group reorganizations and business combinations in which all the combining entities within the Group are ultimately controlled by the same ultimate parent (i.e., controlling shareholders) before and after the business combination and the control is not transitory (business combinations under common control), the Group accounts for such group reorganizations and business combinations similar to a pooling-of-interests method. The assets and liabilities of the acquired entities and that of the Company are reflected at their carrying values at the stand-alone financial statements of the investee companies. The difference in the amount recognized and the fair value of the consideration given is accounted for as an equity transaction, i.e., as either a contribution or distribution of equity. Further, when a subsidiary is disposed in a common control transaction without loss of control, the difference in the amount recognized and the fair value of consideration received, is also accounted for as an equity transaction.

The Group records the difference as "Equity reserve" and is presented as a separate component of equity in the consolidated balance sheet. Comparatives shall be restated to include balances and transactions as if the entities have been acquired at the beginning of the earliest period presented in the consolidated financial statements, regardless of the actual date of the combination.

New Standards, Interpretations and Amendments

The accounting policies adopted are consistent with those of the previous financial year, except for the adoption of new standards effective in 2025. The Group has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective.

Unless otherwise indicated, adoption of these pronouncements did not have any significant impact on the Group's financial position or performance.

- Amendments to PAS 21, Lack of exchangeability
-

Future Changes in Accounting Policies

Pronouncements issued but not yet effective are listed below. Unless otherwise indicated, the Group does not expect that the future adoption of the said pronouncements will have a significant impact on its financial statements. The Group intends to adopt the following pronouncements when they become effective.

Effective beginning on or after January 1, 2026

- Amendments to PFRS 9 and PFRS 7, *Classification and Measurement of Financial Instruments*
- Annual Improvements to PFRS Accounting Standards—Volume 11
 - Amendments to PFRS 1, *Hedge Accounting by a First-time Adopter*
 - Amendments to PFRS 7, *Gain or Loss on Derecognition*
 - Amendments to PFRS 9, *Lessee Derecognition of Lease Liabilities and Transaction Price*
 - Amendments to PFRS 10, *Determination of a 'De Facto Agent'*
 - Amendments to PAS 7, *Cost Method*

Effective beginning on or after January 1, 2027

- PFRS 17, *Insurance Contracts*
- PFRS 18, *Presentation and Disclosure in Financial Statements*
- PFRS 19, *Subsidiaries without Public Accountability*

Deferred effectivity

- Amendments to PFRS 10, *Consolidated Financial Statements*, and PAS 28, *Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

3. Cash

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Cash on hand	₱19,406,361	₱56,761,098
Cash in banks	2,755,217,395	5,083,931,299
Short-term investments	10,000,000	—
	₱2,784,623,756	₱5,140,692,397

Cash in banks earn interest at the respective bank deposit rates. Interest earned from cash in banks for the nine months ended September 30, 2025 and 2024 amounted to ₱14,983,325 and ₱9,698,512, respectively.

4. Trade and Other Receivables

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
	₱	
Trade receivables	429,230,750	₱433,505,369
Nontrade receivables	714,739,028	375,814,793
Receivables from related parties (see Note 18)	459,765,128	163,777,671
Advances to officers and employees	69,972,026	66,024,500
Others	1,983,395	5,136,195
	1,675,690,327	
		1,044,258,528
Less: Allowance for ECL on nontrade receivables	(10,681,080)	(24,549,610)
Allowance for ECL on related parties	(56,353,302)	(56,353,302)
	₱	
	1,608,655,945	
		₱963,355,616

Trade receivables primarily pertains to receivables from credit card companies which are normally settled on three days' terms.

Nontrade receivables mainly include receivables from banks for tie-up sale and promotional activities, and principals for their share in marketing expense.

Nontrade receivables, advances to officers and employees and receivables from related parties are usually settled within one year. SSI's advances to officers and employees are subject to 12% annual interest and are payable within 3-6 months through salary deduction.

5. Merchandise Inventory

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
At cost		
On hand	₱12,476,236,456	₱8,762,308,276
In transit	677,650,335	1,440,400,667
Inventory - at cost	13,153,886,791	10,202,708,943
Less allowance for inventory obsolescence	8,350,384	8,578,821
	₱13,145,536,408	₱10,194,130,122

Inventories in transit include items not yet received but ownership or title to the goods has already passed to the Group.

There are no merchandise inventories pledged as security for liabilities. All inventories are presented at cost.

The cost of inventories recognized as expense and presented in "Cost of goods sold" amounted to

₱11,240,121,395 and ₱11,264,048,777, for the nine months ended September 30, 2025 and 2024, respectively (see Note 13).

6. Prepayments and Other Current Assets

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Advances to suppliers	₱193,900,903	₱323,547,088
Supplies	145,664,113	240,080,010
Input VAT	156,943,860	79,346,021
Creditable withholding tax	98,006,617	1,628,310
Security deposits (see Note 22)	66,244,554	84,364,366
Prepaid insurance	53,856,896	31,359,757
Current portion of prepaid rent (see Notes 10 and 22)	16,600,360	14,450,722
Prepaid advertising	5,742,006	6,789,825
Prepaid guarantee	3,828,775	8,651,928
Deferred input VAT	2,040,104	7,360,038
Others	126,848,201	41,791,773
	₱869,676,389	₱839,369,838

Supplies inventory are composed of packaging materials, office and store supplies, and employees uniform inventory.

Advances to suppliers pertain to advance payments to principals and suppliers for inventory purchases.

Input VAT will be applied against output VAT.

“Others” include advances payments for non-merchandise purchases arising from transactions made by the Group with its foreign suppliers.

7. Investment in an Associate

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Acquisition cost	₱264,140,000	₱264,140,000
Accumulated equity in net earnings:		
Balance at beginning of year	283,686,907	188,591,002
Share in net earnings	31,095,600	125,095,905
Dividends received	(83,200,602)	(30,000,000)
Balance at end of year	231,581,905	283,686,907
	₱495,721,905	₱547,826,907

Investment in SPI

SPI, a company incorporated in the Philippines on September 9, 2008, was established primarily to engage in the importation, distribution, marketing and sale, both wholesale and retail, of all types of luggage and bags, including but not limited to suitcases, garment bags, brief cases, computer bags, backpacks, casual bags, hand bags, travel accessories and such other products of similar nature. As of September 30, 2025 and December 31, 2024, SPI is 40% owned by the Group and 60% owned by Samsonite Corporation, its ultimate parent and an entity incorporated

under the laws of the United States of America.

Investment in LGPI

On May 17, 2022, the Group entered into an agreement with G Distribution B.V. (Gucci) for the formation of a joint venture company, LGPI. The Group invested ₱87.5 million for a 25% stake of LGPI. LGPI began operations on June 1, 2022 and owns and operates Gucci stores in the Philippines. The Group nominates one out of three members of the Board of Directors resulting in a significant influence in LGPI.

Investment in Prada Philippines, Inc. (PPI)

On December 14, 2023, the Group entered into an agreement with Prada SpA. (Prada) for the formation of a joint venture company, Prada Philippines, Inc. The Group invested ₱152.0 million for a 40% stake of PPI. PPI began operations on February 1, 2024 and owns and operates Prada stores in the Philippines. The Group nominates one out of three members of the Board of Directors making it having a significant influence in PPI.

8. Interests in Joint Ventures

The Group's interests in joint ventures pertain to the following:

Joint venture	Project description	Income sharing arrangement
MPC	Operation of retail stores in the Philippines	50:50
SCRI	Open and operate convenience stores directly owned and/or franchised in the Philippines	50:50
SSRI	Investment in and operation of mid-market department stores	50:50
LMS	Investment in and operation of travel retail stores in the Philippines	50:50

The movements in the carrying values of interest in joint ventures are as follows:

September 30, 2025 (Unaudited)

	LMS	MPC	SSRI	SCRI	Total
Cost:					
Balances at beginning and end of period	₱375,296,454	₱87,500,000	₱407,344,383	₱420,350,000	₱1,290,490,837
Accumulated equity in net earnings (losses):					
Balances at beginning of year	(121,968,171)	258,637,070	(407,344,383)	(420,350,000)	(691,025,484)
Share in net income	(29,447,863)	2,212,775	—	—	(27,235,088)
Balances at end of year	(151,416,034)	260,849,845	(407,344,383)	(420,350,000)	(718,260,572)
	₱223,880,421	₱348,349,845	₱—	₱—	₱589,928,789

December 31, 2024 (Audited)

	LMS	MPC	SSRI	SCRI	Total
Cost:					
Balances at beginning and end of year	₱375,296,454	₱87,500,000	₱407,344,383	₱420,350,000	₱1,290,490,837
Accumulated equity in net earnings (losses):					
Balances at beginning of year	(100,243,747)	209,179,225	(407,344,383)	(420,350,000)	(718,758,905)
Share in net earnings (losses)	(21,724,424)	49,457,845	—	—	27,733,421
Balances at end of year	(121,968,171)	258,637,070	(407,344,383)	(420,350,000)	(691,025,484)
	₱253,328,283	₱346,137,070	₱—	₱—	₱599,465,353

Investment in LMS

On August 12, 2015, SKL, a wholly owned subsidiary of SSI, executed agreements to effect the acquisition of a 50% equity stake in LMS from its two existing shareholders Regent and Prime. Regent and Prime will continue to own 50% ownership in LMS following the entry of SKL. LMS is a company specializing in travel retail concepts and has existing supply and management agreements with travel retail stores in the Philippines.

The acquisition cost includes the consideration for goodwill amounting to ₱121.75 million and intangible asset amounting to ₱29.90 million. The intangible asset pertains to the concession agreement with Duty Free and is being amortized over 10.7 years. Amortization expense, which is included in the share in net income of LMS, amounted to ₱2.14 million and ₱2.14 for the nine months ended September 30, 2025 and 2024, respectively.

Investment in MPC

On January 20, 2017, SSI and Ryohin Keikaku Co., Ltd. entered into a Joint Venture Agreement wherein the parties agreed to form MPC. SSI contributed ₱89.25 million for the 51% ownership interest in MPC. On November 20, 2020, the Company entered into a Deed of absolute sale of shares with RKJ for the sale of 1% or 1,750,000 common shares of the Company's ownership interest in MPC. The Joint Venture Agreement provides for unanimous votes of both parties in so far as most key and relevant operating activities are concerned. On December 3, 2020, the Company received cash amounting to ₱5.48 million for the sale of the said shares costing ₱1.75 million and recognized a gain amounting to ₱3.73 million.

The joint ventures have no contingent liabilities or capital commitments as of September 30, 2025 and December 31, 2024.

9. Property and Equipment

The composition and movements of this account are as follows:

September 30, 2025 (Unaudited)

	Leasehold Improvements	Store, Office, Warehouse Furniture and Fixtures	Building	Transportation Equipment	Right of use Asset	Construction in Progress	Total
Cost:							
Balances at beginning of year	₱9,457,622,571	₱3,494,097,077	₱970,932,570	₱343,052,151	₱5,951,648,950	₱215,087,882	₱20,432,441,201
Additions	493,086,128	244,730,721	8,792,977	1,646,492	49,833,864	454,630,260	1,252,720,442
Disposals	(227,986,674)	(137,975,706)	–	–	(179,496,512)	–	(545,458,892)
Reclassifications	213,011,990	179,871	–	–	–	(213,191,861)	–
Balances at end of year	9,935,734,015	3,601,031,963	979,725,547	344,698,643	5,821,986,302	456,526,281	21,139,702,751
Accumulated depreciation and amortization:							
Balances at beginning of year	6,487,835,608	2,712,765,135	521,269,730	264,562,761	3,799,303,920	–	13,785,737,154
Depreciation (see Note 17)	622,537,405	163,299,230	38,397,376	16,691,593	553,556,184	–	1,394,481,788
Disposals	(224,290,059)	(135,395,907)	–	–	(179,496,512)	–	(539,182,478)
Balances at end of year	6,886,082,954	2,740,668,458	559,667,106	281,254,354	4,173,363,592	–	14,641,036,464
Net book values	₱3,049,651,061	₱860,363,505	₱420,058,441	₱63,444,289	₱1,648,622,710	₱456,526,281	₱6,498,666,287

December 31, 2024 (Audited)

	Leasehold Improvements	Store, Office, Warehouse Furniture and Fixtures	Building	Transportation Equipment	Right-of-Use Asset	Construction in Progress	Total
Cost:							
Balances at beginning of year	₱8,181,439,383	₱2,974,272,216	₱957,984,708	₱314,488,090	₱5,192,461,804	₱194,594,941	₱17,815,241,142
Additions	1,316,777,506	531,387,391	12,947,862	29,399,061	1,151,170,601	540,676,545	3,582,358,966
Disposals and retirement	(550,896,069)	(21,444,383)	–	(835,000)	(391,983,455)	–	(965,158,907)
Reclassifications	510,301,751	9,881,853	–	–	–	(520,183,604)	–
Balances at end of year	9,457,622,571	3,494,097,077	970,932,570	343,052,151	5,951,648,950	215,087,882	20,432,441,201
Accumulated Depreciation and Amortization:							
Balances at beginning of year	6,267,961,413	2,502,765,417	474,119,973	244,198,388	3,307,328,044	–	12,796,373,235
Depreciation and amortization (Note 17)	673,736,033	221,157,405	47,149,757	21,199,373	843,839,373	–	1,807,081,941
Disposals and retirement	(453,861,838)	(11,157,687)	–	(835,000)	(351,863,497)	–	(817,718,022)
Balances at end of year	6,487,835,608	2,712,765,135	521,269,730	264,562,761	3,799,303,920	–	13,785,737,154
Net book values	₱2,969,786,963	₱781,331,942	₱449,662,840	₱78,489,390	₱2,152,345,030	₱215,087,882	₱6,646,704,047

Additions to leasehold improvements and construction in progress in 2025 and 2024 pertain to improvements and construction of newly opened and renovated stores during the year.

Disposals and retirement for the period ended September 30, 2025 and December 31, 2024 mainly pertain to leasehold improvements, store furniture and fixtures and right-of-use assets derecognized on closed or renovated stores.

No property and equipment were pledged or treated as security to the outstanding liabilities as of September 30, 2025 and December 31, 2024.

The Group has purchase commitments relating to property and equipment amounting to nil and ₱9.85 million as of September 30, 2025 and December 31, 2024, respectively.

10. Other Noncurrent Assets

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Franchise fee	₱70,658,170	₱74,433,455
Miscellaneous deposits	115,993,495	91,651,632
Software costs	2,480,547	2,943,461
Others	52,103,501	35,701,092
	₱241,235,713	₱204,729,640

Miscellaneous deposits pertain to advance payments to contractors for the construction and renovation of stores.

11. Trade and Other Payables

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Trade payables	₱5,373,655,196	₱3,619,228,741
Nontrade payables	1,134,919,400	844,205,352
Accrued expenses	125,889,059	343,125,756
Retention payable	155,340,540	347,435,957
Output VAT	37,945,548	265,186,146
Tenant deposit	7,551,985	7,395,724
Payable to related parties (see Note 18)	235,185	131,324
Others	15,924,969	19,485,347
	₱6,851,461,882	₱5,446,194,347

Trade payables are noninterest-bearing and are normally settled on 30 to 120 days' terms.

Nontrade payables represent statutory payables such as withholding taxes, SSS premiums and other liabilities to government agencies, rent payable, payable to contractors and suppliers of services, among others.

Accrued expenses pertain to accrued salaries, leaves and bonuses, security and safety, interest, utilities and repairs and maintenance and accruals of royalties to be paid to foreign principals, among others.

Other payables mainly pertain to payables to non-trade suppliers and payable to advertising agencies.

Trade and other payables are generally paid within 12 months from balance sheet date.

12. Short-term Loans Payable

	September 30, 2025 (Unaudited)	December 31, 2025 (Audited)
Banks:		
Bank of Philippine Islands (BPI)	₱600,000,000	₱650,000,000
Banco de Oro (BDO)	800,000,000	300,000,000
Security Bank Corporation (SBC)	–	75,000,000
	₱1,400,000,000	₱1,025,000,000

The Group's outstanding short-term peso-denominated loans from local commercial banks bear interest at rates ranging from 5.50% to 5.75% and 3.00% to 6.88% for the nine months ended 2025 and 2024, respectively.

Interest expense recognized in the consolidated statements of comprehensive income for the nine months ended September 30, 2025 and 2024 amounted to ₱43,940,626 and ₱53,515,119, respectively.

13. Cost of Goods Sold

	September 30, 2025 (Unaudited)	September 30, 2024 (Unaudited)
Cost of merchandise sold (Note 5)	₱11,240,121,395	₱11,264,048,777
Depreciation and amortization (Notes 9 and 17)	5,161,380	10,299,635
Rent (Note 22)	14,169,831	9,387,724
Utilities	22,991,062	15,105,269
Outside services	2,331,269	139,693
Others	16,597,769	11,351,176
	₱11,301,372,706	₱11,310,332,274

Depreciation and amortization pertains to depreciation of leasehold improvements and furniture and fixtures of the leased spaces. Utilities, rent, security and safety expenses pertain to cost incurred in the operation of leased spaces.

Cost of merchandise sold:

	September 30, 2025 (Unaudited)	September 30, 2024 (Unaudited)
Merchandise inventory, beginning	₱10,194,130,126	₱9,733,780,145
Net purchases	14,191,527,677	13,594,139,405
Cost of merchandise available for sale	24,385,657,803	23,327,919,550
Less merchandise inventory, ending	13,145,536,408	12,063,870,773
	₱11,240,121,395	₱11,264,048,777

Net purchases include cost of inventory, freight charges, insurance and customs duties.

Cost of merchandise sold represents cost of merchandise inventory sold and the cost that are directly attributable to bringing the goods to its intended location.

14. Selling and Distribution Expenses

	September 30, 2025 (Unaudited)	September 30, 2024 (Unaudited)
Rent (see Notes 18 and 22)	₱1,265,925,479	1,106,661,200
Depreciation and amortization (see Notes 9, 10 and 17)	1,219,744,259	₱1,063,749,964
Personnel costs (see Note 16)	1,063,432,904	885,732,041
Global marketing contribution fee	615,111,707	577,642,087
Utilities	481,492,532	424,773,857
Credit card charges	413,428,882	427,406,613
Taxes and licenses	250,578,058	223,116,403
Advertising	246,410,268	270,322,421
Delivery and freight charges	210,520,815	174,089,699
Supplies and maintenance	194,315,976	214,515,089
Security services	134,889,379	121,205,922
Professional fees	100,819,497	65,382,740
Insurance	72,517,517	60,853,146
Repairs and maintenance	63,732,563	56,388,621
Travel and transportation	48,519,366	50,920,554
Outside services	35,073,275	25,447,240
Communication	29,640,687	23,755,374
Entertainment, amusement and recreation (EAR)	6,675,612	5,753,878
Telegraphic transfer	874,463	1,175,413
Others	121,629,993	131,073,202
	₱6,575,333,232	₱5,909,965,464

15. General and Administrative Expenses

	September 30, 2025 (Unaudited)	September 30, 2024 (Unaudited)
Personnel costs (see Note 16)	P679,646,740	P638,668,891
Depreciation and amortization (see Notes 9, 10 and 17)	177,881,130	123,154,362
Professional fees	152,788,750	65,235,613
Rent (see Notes 18 and 22)	63,445,908	78,383,189
Utilities	62,529,511	59,541,689
Repairs and maintenance	55,730,331	67,666,772
Taxes and licenses	49,108,306	38,032,580
Supplies and maintenance	47,620,146	45,373,324
Security services	31,252,333	26,241,524
Outside service	35,167,615	771,831
Insurance	26,255,251	24,970,030
Advertising	24,642,096	10,511,593
Travel and transportation	14,922,263	17,162,691
Communication	14,355,253	12,319,888
EAR	5,894,140	11,111,590
Others	163,109,281	147,235,572
	P1,604,349,054	P1,366,381,139

16. Personnel Costs

Personnel costs were charged to operations as follows:

	September 30, 2025 (Unaudited)	September 30, 2024 (Unaudited)
Salaries, wages and bonuses	P1,480,974,399	P1,277,026,560
Retirement benefit expense	70,182,320	66,320,702
Other employee benefits	192,074,161	181,821,397
	P1,743,230,880	P1,525,168,659

Personnel costs were distributed as follows:

	September 30, 2025 (Unaudited)	September 30, 2024 (Unaudited)
Cost of services (Note 13)	P151,236	P767,727
Selling and distribution (see Note 14)	1,063,432,904	885,732,041
General and administrative (see Note 15)	679,646,740	638,668,891
	P1,743,230,880	P1,525,168,659

17. Depreciation and Amortization Expense

	September 30, 2025 (Unaudited)	September 30, 2024 (Unaudited)
Property and equipment (see Note 9)	₱1,394,481,788	₱1,189,166,539
Franchise fee (see Note 10)	6,943,564	6,390,867
Software costs (see Note 10)	1,361,417	1,646,555
	₱1,402,786,769	₱1,197,203,961

Depreciation and amortization were distributed as follows:

	September 30, 2025 (Unaudited)	September 30, 2024 (Unaudited)
Cost of services (Note 13)	₱5,161,380	₱10,299,635
Selling and distribution (see Note 14)	1,219,744,259	1,063,749,965
General and administrative (see Note 15)	177,881,130	123,154,361
	₱1,402,786,769	₱1,197,203,961

18. Related Party Disclosures

Parties are considered to be related if one party has the ability to control, directly or indirectly, the other party or exercise significant influence over the other party in making financial and operating decisions. Parties are also considered to be related if they are subject to common control. Related parties may be individuals or corporate entities. Key management personnel are considered related parties.

The Group, in the normal course of business, entered into the following transactions with related parties:

- a. Lease of the Group's store outlet spaces from a related party (see Note 22). Related rent expense amounted to ₱68.5 million and ₱75.0 million, for the nine months in the period ended September 30, 2025 and 2024, respectively;
- b. The Group reimburses related parties for its expenses paid by the related parties in behalf of the Group;
- c. Sales through the use of related parties' gift certificates. Total value of the related parties' gift certificates used amounted to ₱6.1 million and ₱16.6 million for the nine months ended September 30, 2025 and 2024, respectively;
- d. Short-term noninterest-bearing cash advances to/from related parties; and
- e. Compensation of the Company's key management personnel comprised of short-term employee benefits amounting to ₱28.3 million, ₱28.1 million for the nine months in the period ended September 30, 2025 and 2024, respectively, and post-employment benefits amounting to ₱4.3 million and ₱4.1 million for the nine months in the period ended September 30, 2025 and 2024, respectively.

As of September 30, 2025 and December 31, 2024, transactions with related parties are as follows:

Related Parties	Periods ended	Transactions for the year	Outstanding balances	
			Receivables from related parties (Note 5)	Payable to related parties (Note 12)
<i>Under common control</i>				
RCC	September 30, 2025	₱30,561	₱7,969,005	₱–
	December 31, 2024	₱124,768,220	₱55,751,989	₱75,000
RMK	September 30, 2025	234,328,341	343,899,673	235,185
	December 31, 2024	19,441,411	44,160,384	56,324
<i>Joint venture</i>				
MPC	September 30, 2025	44,465,309	49,070,267	–
	December 31, 2024	11,417,576	5,040,605	–
<i>Associate</i>				
SPI	September 30, 2025	1,800	2,472,881	–
	December 31, 2024	15,557	2,471,391	–
	September 30, 2025		₱403,411,826	₱235,185
	December 31, 2024		₱107,424,369	₱131,324

The related party balances as of September 30, 2025 and December 31, 2024 are due and demandable, non-interest bearing and unsecured. The allowance for expected credit losses on amounts owed by related parties amounted to ₱43.17 million as of September 30, 2025 and December 31, 2024, all receivables from related parties are not impaired. All related party balances are settled in cash.

19. Earnings Per Share (EPS)

The following tables reflect the net income and share data used in the basic/dilutive EPS computations:

	September, 2025 (Unaudited)	September 30, 2024 (Unaudited)
Net income	₱639,841,692	₱1,263,491,558
Divided by weighted average number of common shares	3,291,177,930	3,291,177,930
	₱0.19	₱0.38

There were no potential dilutive common shares for the nine months ended September 30, 2025 and 2024.

20. Risk Management Objectives and Policies

The principal financial instruments of the Group are cash and short-term and long-term loans. The main purpose of these financial instruments is to anticipate future fund requirements of the Group. The Group has various other financial assets and liabilities such as trade and other receivables, trade and other payables, short-term loan payable and long-term debt, amounts owed to/by related parties, tenants' deposits and security deposits and construction bonds which arise directly from its operations.

The main risks arising from the financial instruments of the Group are credit risk, foreign currency risk and liquidity risk. The Group's management reviews and approves policies for managing each of these risks and they are summarized below. The Group also monitors the market price risk arising from all financial instruments.

The magnitudes of these risks that have arisen over the year are discussed below.

Credit risk

Credit risk is the risk that a counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss. The Group trades only with recognized, creditworthy third parties, mostly with credit card companies. Trade receivables from third parties are monitored on an on-going basis with the result that the exposure of the Group to bad debts is not significant. There is no allowance for impairment of trade receivables since the Group expects to fully realize its receivables from debtors.

The table below shows the maximum exposure of the Company to credit risk:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Cash and cash equivalents	P2,765,217,395	P5,083,931,299
Trade and other receivables		
Trade receivables	429,230,750	433,505,369
Nontrade receivables	714,739,028	375,814,793
Receivables from related parties	459,765,128	163,777,671
Others	1,983,398	5,136,195
Security deposits and construction bonds	1,188,655,574	1,112,867,797
	P5,559,591,273	P7,175,033,124

There is no significant concentration of credit risk in the Group.

The aging analyses of financial assets that are past due but not impaired are as follows:

September 30, 2025 (Unaudited)

	Total	Neither past due nor impaired	Past due but not impaired				Impaired
			<30 days	30 - 60 days	60 - 90 days	> 90 days	
Cash	P2,765,217,395	P2,765,217,395	P-	P-	P-	P-	P-
Trade and other receivables							
Trade receivables	429,230,750	378,722,400	30,546,557	1,955,325	667,660	17,338,808	-
Nontrade receivables	714,739,028	47,767,759	127,164,498	58,563,387	83,494,509	387,067,792	10,681,083
Receivables from related parties	459,765,128	235,053,217	20,746,151	16,422,966	14,694,233	116,495,259	56,353,302
Others	1,983,398	1,983,398	-	-	-	-	-
Security deposits and construction bonds	1,188,655,574	1,188,655,574	-	-	-	-	-
Total	P5,559,591,273	P4,617,399,743	P178,457,206	P76,941,678	P98,856,402	P520,901,859	P67,034,385

December 31, 2024

	Total	Neither past due nor impaired	Past due but not impaired				Impaired
			<30 days	30 - 60 days	60 - 90 days	> 90 days	
Cash and cash equivalents	P5,083,931,299	P5,083,931,299	P-	P-	P-	P-	P-
Trade and other receivables							
Trade receivables	433,505,369	280,834,672	113,345,693	6,649,883	19,355,584	13,319,536	-
Nontrade receivables	375,814,793	28,147,787	92,273,819	62,715,961	51,817,760	130,178,382	10,681,083
Receivables from related parties	163,777,671	10,283,542	26,589,419	21,867,007	17,870,149	30,814,252	56,353,302
Others	5,136,195	5,136,195	-	-	-	-	-
Security deposits and construction bonds ¹	1,112,867,797	1,112,867,797	-	-	-	-	-
Total	P7,175,033,124	P6,521,201,292	P232,208,931	P91,232,851	P89,043,493	P174,312,170	P67,034,385

Impairment of financial assets

The following financial assets are subject to expected credit loss model effective January 1, 2018:

- a. Cash, nontrade receivables (except those related to principals), amounts owed by related parties and security deposits and construction bonds. The Group uses general approach in assessing impairment of these financial assets. The credit risk of these financial asset is presumed to increase when the contractual payments are more than 30 days past due. As of September 30, 2025 and December 31, 2024, there has been no increase in credit risk of these financial assets since initial recognition except for amounts owed by related parties amounting to ₱23.63 million which are classified as credit impaired as of September 30, 2025 and December 31, 2024.
- b. Trade receivables. For these financial assets, the Group uses simplified approach. An impairment analysis is performed at each reporting date to measure expected credit losses. The calculation reflects the probability-weighted outcome, the time value of money and reasonable and supportable information that is available at the reporting date about past events, current conditions and forecasts of future economic conditions. The identified impairment losses on these financial assets were immaterial.
- c. Nontrade receivables pertain to receivables from principals. The credit risk of these financial assets is presumed to increase when the contractual payments are more than 90 days past due. As of September 30, 2025 and December 31, 2024, nontrade receivables from principals amounting to ₱ 0.86 million, are classified as credit impaired.

Capital Management

The primary objective of the Group is to maintain a strong credit rating and healthy capital ratios to support its business and maximize shareholder value.

The Group manages its capital structure and makes adjustments to it based on changes in economic and business conditions. To maintain or adjust the capital structure, the Group may consider paying dividends to stockholders, returning capital to stockholders, or issuing new shares of stocks. No major changes were made on the objectives, policies, or processes during the nine months ended September 30, 2025 and year ended December 31, 2024. Capital includes equity as shown in the consolidated balance sheet.

As disclosed in Note 14, the Group is required by their creditors to maintain a debt-to-equity ratio and debt-service coverage ratio. The Group, thus, monitors capital on the basis of debt-to-equity ratio which is calculated as total liabilities divided by total equity. The Company includes within debt all interest-bearing short-term and long-term liabilities. These externally imposed capital requirements have been complied with as of September 30, 2025.

21. Fair Value of Financial Instruments

Set out below is a comparison by category of carrying amounts and fair values of the Group's financial instruments:

	September 30, 2025 (Unaudited)		December 31, 2024 (Audited)	
	Carrying Amounts	Fair Values	Carrying Amounts	Fair Values
Financial Assets				
<i>Loans and receivables</i>				
Security deposits and construction bonds	₱1,188,655,574	₱1,224,415,313	₱1,112,867,797	₱1,148,627,536

The following method and assumptions are used to estimate the fair value of each class of financial

instruments:

Cash and cash equivalents, trade and other receivables, amounts owed by/to related parties, current portion of security deposits (presented under prepayments and other current assets), tenants' deposits, trade and other payables and short-term loans

The carrying values of these financial instruments approximate their fair values due to the short-term maturity, ranging from one to twelve months.

Security deposits and construction bonds

The fair values of security deposits are based on the discounted value of future cash flows using the applicable market interest rates. Discount rates ranging from 1.66% to 6.89% were used in calculating the fair value of the Group's refundable deposits as of September 30, 2025 and December 31, 2024.

Fair Value Hierarchy

The Group uses the following hierarchy in determining and disclosing the fair value of financial instruments by valuation technique:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities;
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable;
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

The Group's security deposits and construction bonds and long-term debt are classified as Level 3.

As at September 30, 2025 and December 31, 2024 the Group does not have financial instruments with fair values determined using inputs that are classified under Level 1 and 3.

For the nine months ended September 30, 2025 and years ended December 31, 2024, there were no transfers between Level 1 and Level 2 fair value measurements, and no transfers into and out of Level 3 fair value measurements.

22. Contracts and Commitments

Group as a Lessee

The Group has various leases of its warehouse and office space and certain store outlets used in its operations for lease terms ranging from three to ten years. Rental payments on certain outlets are based on a fixed basic monthly rate plus a certain percentage of gross sales, while other store outlets and office spaces are based on fixed monthly rates. The Group also has certain leases of stores, office and warehouse space with lease terms of 12 months or less and leases of office equipment with low value. The Company applies the 'short-term lease' and 'lease of low-value assets' recognition exemptions for these leases.

The rollforward analysis of right-of-use assets follows:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Balances at beginning of the year	₱2,152,345,030	₱1,885,133,760
Additions	49,833,864	1,151,170,601
Depreciation expense	(553,556,184)	(843,839,373)
Remeasurement/termination	–	(40,119,958)
Balances at end of the year	₱1,648,622,710	₱2,152,345,030

The rollforward analysis of lease liabilities follows:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Balances at beginning of the year	₱2,108,482,236	₱1,788,358,687
Additions	–	1,129,243,215
Interest expense	101,450,673	137,743,329
Remeasurement/termination	–	(30,966,145)
Lease concession	–	–
Payments	(597,001,275)	(915,896,850)
Balances at end of the year	1,612,931,634	2,108,482,236
Less: current portion	284,925,848	767,612,958
Balances at end of the year	₱1,328,005,786	₱1,340,869,278

The Group has paid security deposits for the store outlets and office spaces with carrying amounts of ₱ 1,188.66 million and ₱1,112.87 million as of September 30, 2025 and December 31, 2024, respectively, which are refundable upon complete turnover of the leased area. The present value of these deposits was computed using the discount rates prevailing at the inception date of the lease, ranging from 1.66% to 6.89%. Interest income recognized from these security deposits amounted to ₱ 2.85 million and ₱4.06 million, for the nine months ended September 30, 2025 and 2024, respectively.

Group as lessor

In 2014, the Group leased out portions of the store spaces and parking space in Central Square for a lease term ranging from one to three years. Rental income on these spaces is based on a fixed basic monthly rate plus a certain percentage of gross sales. Rental income recognized on these spaces amounted to ₱71.40 million and ₱69.48 million, for the nine months ended September 30, 2025 and 2024, respectively. Deposits received from tenants amounted to ₱44.33 million and ₱44.05 million as of September 30, 2025 and December 31, 2024, respectively, pertaining to deposits on the leased space.

23. Segment Reporting

The Group has determined that it is operating as one operating segment. Based on management's assessment, no part or component of the business of the Group meets the qualifications of an operating segment as defined by PFRS 8.

The Company's store operations is its only income generating activity and such is the measure used by the chief operating decision maker in allocating resources.

The Company derives its primary income from the sales of merchandise to external customers and is the only basis for segment reporting purposes. Sales are reported on an entity-wide basis. This information is measured using the same accounting policies and estimates as the Group's consolidated

financial statements.

The table below sets out revenue from external customers by category for the nine months ended September 30, 2025 and 2024 (amounts in millions):

	September 30, 2025 (Unaudited)	September 30, 2024 (Unaudited)
Net Sales		
Luxury and Bridge	₱6,207	₱6,453
Fast Fashion	6,912	6,853
Casual	2,896	2,984
Footwear, Accessories and Luggage	1,624	1,246
Other	2,685	2,639
	₱20,324	₱20,175

24. Seasonality of operations

The Group experiences seasonal fluctuations in its operations. The Group's sales typically peak during the fourth quarter of the year due to the increased sales attributable to the Christmas and New Year Holidays.

EXHIBIT I

SSI GROUP, INC.

MAP SHOWING RELATIONSHIPS BETWEEN AND AMONG THE COMPANIES IN THE GROUP, ITS ULTIMATE PARENT COMPANY AND ITS SUBSIDIARIES SEPTEMBER 30, 2025

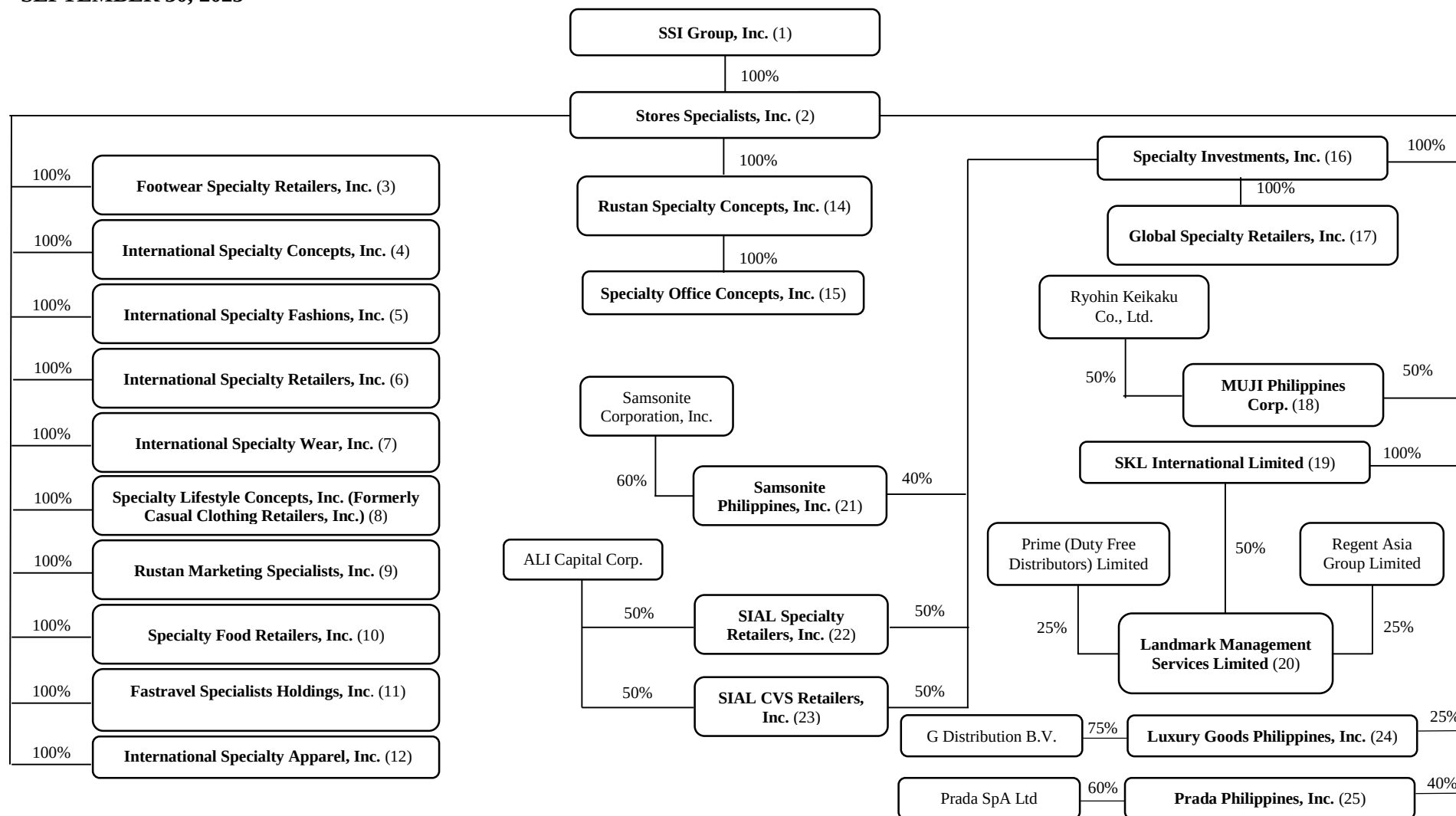


Exhibit II

SSI GROUP, INC.

**SUPPLEMENTARY SCHEDULE OF RETAINED EARNINGS AVAILABLE
FOR DIVIDENDS DECLARATION
SEPTEMBER 30, 2025**

Unappropriated Retained Earnings, January 1, 2025	P1,394,699,538
Add: <u>Category A: Items that are directly credited to</u>	
Unappropriated Retained Earnings	
Reversal of Retained Earnings Appropriation/s	—
Effect of restatements or prior-period adjustments	—
Others	—
Less: <u>Category B: Items that are directly debited to</u>	
Unappropriated Retained Earnings	
Dividend declaration during the reporting period	(503,550,223)
Retained Earnings appropriated during the reporting period	—
Effects of restatements or prior-period adjustments	—
Others	—
Unappropriated Retained Earnings, January 1, 2025 as adjusted	891,149,315
Add/Less: Net income for the current year	526,391,381
Less: <u>Category C.1: Unrealized income recognized in the profit or loss during the reporting period (net of tax)</u>	
Equity in net income of associate/joint venture, net of dividends declared	—
Unrealized foreign exchange gain, except those attributable to cash and cash equivalents	—
Unrealized fair value adjustment (mark-to-market gains) of financial instruments at fair value through profit or loss (FVTPL)	—
Unrealized fair value gain of Investment Property	—
Other unrealized gains or adjustments to the retained earnings as a result of certain transactions accounted for under the PFRS	—
Sub-total	—

(forward)

SSI GROUP, INC.**SUPPLEMENTARY SCHEDULE OF RETAINED EARNINGS AVAILABLE
FOR DIVIDENDS DECLARATION****SEPTEMBER 30, 2025****Add: Category C.2: Unrealized income recognized in the
profit or loss in prior reporting periods but realized
in the current reporting period (net of tax)**

Realized foreign exchange gain, except those attributable to Cash and cash equivalents	—
Realized fair value adjustment (mark-to-market gains) of financial instruments at fair value through profit or loss (FVTPL)	—
Realized fair value adjustment (mark-to-market gains) of financial instruments at fair value through profit or loss (FVTPL)	—
Realized fair value gain of Investment Property	—
Other realized gains or adjustments to the retained earnings as a result of certain transactions accounted for under the PFRS	—
Sub-total	—

**Add: Category C.3: Unrealized income recognized in profit or
loss in prior periods but reversed in the current
reporting period (net of tax)**

Reversal of previously recorded foreign exchange gain, except those attributable to cash and cash equivalents	—
Reversal of previously recorded fair value adjustment (mark-to-market gains) of financial instruments at fair value through profit or loss (FVTPL)	—
Reversal of previously recorded fair value gain of Investment Property	—
Other realized gains or adjustments to the retained earnings as a result of certain transactions accounted for under the PFRS	—
Sub-total	—

Adjusted Net Income	526,391,381
----------------------------	--------------------

(forward)

SSI GROUP, INC.

**SUPPLEMENTARY SCHEDULE OF RETAINED EARNINGS AVAILABLE
FOR DIVIDENDS DECLARATION
SEPTEMBER 30, 2025**

**Add: Category D: Non-actual losses recognized in profit or
loss during the reporting period (net of tax)**

Depreciation on revaluation increment (after tax)	—
Others	—
Sub-total	—

**Add/Less: Category E: Adjustments related to relief granted by
the SEC and BSP**

Amortization of the effect of reporting relief	—
Total amount of reporting relief granted during the year	—
Others	—
Sub-total	—

**Less: Category F: Other items that should be excluded from
the determination of the amount of available for
dividends distribution**

Treasury shares (except for reacquisition of redeemable shares)	
Deferred tax asset not considered in the reconciling items under the previous categories	—
Net movement in deferred tax asset and deferred tax liabilities related to same transaction, i.e., set up of right of use of asset and lease liability, set-up of asset and asset retirement obligation, and set-up of service concession asset and concession payable.	—
Adjustment due to deviation from PFRS/GAAP – gain (loss)	—
Others	—
Sub-total	—

**Unappropriated Retained Earnings Available For Dividend
Distribution, September 30, 2025**

₱1,417,540,696

Exhibit III**SSI GROUP, INC.****SCHEDULE OF FINANCIAL SOUNDNESS INDICATORS**

Ratios	Formula	September 30, 2025	December 31, 2024	September 30, 2024
(i) Current Ratio	Current Assets/Current Liabilities	2.11	2.25	2.13
(ii) Debt/Equity Ratio	Bank Debts/ Total Equity	0.08	0.06	0.10
(iii) Net Debt/Equity Ratio	Bank Debts-Cash & Equivalents/Total Equity	(0.08)	(0.25)	(0.13)
(iii) Asset to Equity Ratio	Total Assets/Total Equity	1.66	1.60	1.66
(iv) Interest Cover Ratio	EBITDA/Interest Expense	17.07	21.42	19.64
(v) Profitability Ratios				
GP Margin	Gross Profit/Revenues	44.59%	45.88%	44.13%
Net Profit (Loss) Margin	Net Income (Loss) /Revenues	3.14%	8.36%	6.24%
EBITDA Margin	EBITDA/Revenues	12.17%	17.76%	15.19%
Return on Assets	Net Income (Loss) /Total Assets	2.30%	9.44%	4.95%
Return on Equity	Net Income (Loss) /Total Equity	2.83%	15.08%	8.21%

*EBITDA = Earnings before interest, taxes and depreciation and amortization